Quillwood Credit Partners
Origination and credit | Internal working paper

Real Estate Credit Policy

Lending parameters, concentration limits and exception governance for real estate credit

Version 3.1, effective 1 February 2025
Prepared by Quillwood Credit Partners
Approved for use by the Investment Committee and Risk Committee
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Document	Real Estate Credit Policy
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Prepared by	Quillwood Credit Partners, Credit and Risk team
Prepared for	Investment Committee, Risk Committee and deal teams
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Supersedes	Version 3.0
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Document control

1. Purpose and scope

1.1 This policy sets the minimum credit standards for real estate loans originated, acquired or refinanced by funds managed by Quillwood Credit Partners (the Manager). It is intended to give deal teams, the Investment Committee (IC) and the Risk Committee a single reference for what the Manager will lend against, on what terms, and how far a single exposure may go.

1.2 The policy applies to five lending categories: construction finance, land and civils finance, apartments for sale (a sub-category of construction finance with additional pre-sale requirements), investment property finance and build-to-rent (BTR) finance. Loans outside these categories, including hospitality operating businesses, mezzanine or preferred equity, and unsecured corporate lending, require separate IC approval and are not covered by this policy.

1.3 This policy operates alongside the fund constitutions, investment mandates, the Valuation Policy, the Conflicts of Interest Policy and the Anti-Money Laundering and Counter-Terrorism Financing Program. Where a fund mandate is more restrictive than this policy, the mandate prevails.

1.4 All loans must be made on a senior secured basis, secured by a first registered mortgage over the underlying real property, unless the IC approves an exception under Section 13. All loans must be denominated in Australian dollars and secured over property located in Australia.

2. Definitions

2.1 In this policy, the following terms have the meanings below.

- As-is value: the market value of the property in its current condition and with its current approvals, as assessed by an approved valuer.
- As-if-complete value: the market value of the completed project on the assumption that it is built in accordance with approved plans and specifications and, where relevant, fully leased or sold at market.
- TDC: total development cost, being land, construction, professional fees, statutory charges, interest and financing costs, sales and marketing costs, contingency and all other costs to complete, excluding GST that is recoverable.
- LVR: facility limit divided by the relevant valuation basis for the category.
- LTC: facility limit divided by TDC.
- ICR: interest cover ratio, being net operating income for the period divided by interest payable for the same period.
- Facility limit: the total committed amount, including capitalised interest and any cost overrun facility.
- Fund: the net asset value of the relevant fund at the most recent month end, unless this policy states otherwise.
- Borrower group: the borrower, its related entities, its guarantors and any parties under common control or common economic interest, aggregated on a look-through basis.

3. Summary of limits

3.1 The limits in Table 1 are hard limits. A proposed loan that does not satisfy every applicable limit may only proceed through the exception process in Section 13.

Category	Primary limit	Secondary requirement
Construction	LVR max 65% on as-if-complete	LTC max 80%
Land and civils	LVR max 60% on as-is	Pre-sales min 25% of stage lots by value, 5% deposits
Apartments for sale	As for construction	Pre-sale debt cover min 80% of facility limit
Investment	LVR max 65%	ICR floor 1.75x
Build-to-rent	LVR max 65%	Stabilised and as-if-complete valuation tests
Borrower group	Max 12% of Fund	Aggregated on a look-through basis
Sponsor equity	Min 10% of TDC in cash	Funded before first drawdown

Table 1: Summary of hard limits by category

3.2 Limits are tested at origination, at each drawdown for development loans, and at each valuation update. A breach arising after origination must be reported under Section 12 and managed in accordance with the relevant facility documents.

4. Construction finance

4.1 Leverage

4.1.1 The facility limit must not exceed 65% of the as-if-complete value of the project, as assessed by an approved valuer on the basis of the approved plans, specifications and a construction contract or budget reviewed by the independent quantity surveyor.

4.1.2 The facility limit must not exceed 80% of TDC. Both the LVR and LTC tests must be met. In practice the lower of the two will determine the maximum facility limit.

4.1.3 Where a project includes retained commercial or retail components valued on a capitalisation basis, the valuation must show the commercial component separately, and the Manager will not give value to any uncontracted rental growth beyond that supported by the valuer's evidence.

4.2 Construction and cost controls

4.2.1 A fixed price or guaranteed maximum price construction contract with a builder of acceptable financial standing is required. The builder must be assessed by Credit for balance sheet strength, work in progress capacity, insurance and completion track record. Cost plus contracts are not permitted unless the IC approves an exception.

4.2.2 The TDC budget must include a contingency that is reviewed by the independent quantity surveyor. The contingency must be held within the facility or covered by the sponsor, and may only be released with the approval of the Manager's monitoring surveyor.

4.2.3 Drawdowns are made progressively against certified work in place, supported by a progress claim, a quantity surveyor certificate, a title search, evidence of payment of prior claims and a statutory declaration. Retention must be held in accordance with the building contract and not released ahead of practical completion.

4.2.4 Equity must be spent before the first debt drawdown, except where the IC has approved a pro rata funding mechanism and the sponsor has provided security for its remaining obligations.

4.3 Apartments for sale

4.3.1 For residential or mixed use apartment projects where repayment depends on sale of completed lots, the Manager requires minimum pre-sale debt cover of 80% of the facility limit. Pre-sale debt cover is the net sale proceeds from unconditional, arm's length contracts, after GST, agent commissions, rebates, incentives and the costs of settlement, divided by the facility limit.

4.3.2 Only contracts that satisfy all of the following may be counted towards pre-sale debt cover: the contract is unconditional and any cooling off period has expired; a deposit of at least 10% has been paid and is held in a controlled trust account or by a deposit bond acceptable to the Manager; the purchaser is not a related party of the sponsor or builder; and the purchaser has been subject to the Manager's identity and source of funds checks where the contract is for more than one lot.

4.3.3 Sales to foreign purchasers must be supported by evidence of any required foreign investment approval. Contracts with a single purchaser or purchaser group must not represent more than 10% of the pre-sale debt cover figure without IC approval.

4.3.4 Pre-sale debt cover must be satisfied before the first construction drawdown. If a pre-sale contract is terminated or rescinded, the sponsor must replace it within 60 days or the Manager may suspend further drawdowns.

5. Land and civils finance

5.1 The facility limit must not exceed 60% of the as-is value of the land, assessed by an approved valuer. The as-is value must reflect the status of statutory approvals at the date of valuation. Value attributed to unapproved zoning or subdivision outcomes must be excluded unless the IC approves otherwise.

5.2 Where the facility funds civil works for a residential subdivision, the loan must be supported by pre-sales of at least 25% of the lots in the relevant stage by value, with each contract carrying a deposit of at least 5% of the purchase price. Pre-sale contracts must be unconditional or, if conditional, conditional only on registration of title, and must be with arm's length purchasers.

5.3 Pre-sale conditions are applied stage by stage. Funding for a subsequent stage will not be released until the pre-sale test for that stage is met and the preceding stage is within budget and programme, as certified by the monitoring surveyor.

5.4 Release prices for individual lots must be set at not less than the price that returns, on each settlement, an amount at least equal to the pro rata share of the facility attributable to that lot, plus a premium of not less than the amount specified in the facility agreement. The Manager must hold approval rights over any variation to release prices.

5.5 The Manager must be satisfied that development approvals, engineering approvals, utilities servicing and environmental assessments are in place for the stage being funded. Credit must obtain a town planning review for any land and civils proposal where approvals remain outstanding.

6. Investment property finance

6.1 For loans secured by completed income producing property, the facility limit must not exceed 65% of the as-is market value, and the ICR must be at least 1.75x at origination and at each test date.

6.2 ICR is calculated using net operating income that is contracted or reasonably expected over the next 12 months, after outgoings that are not recoverable, a vacancy allowance and a capital expenditure allowance supported by the valuer or an independent building consultant. Interest is calculated on the fully drawn facility at the all-in contract rate, using the hedged rate for any hedged portion.

6.3 Credit must review the lease profile, including weighted average lease expiry, tenant covenant strength, incentives, make-good obligations and any concentration in a single tenant. Where a single tenant contributes more than 40% of gross income, the credit paper must include a specific analysis of that tenant and a re-leasing scenario.

6.4 Where an investment loan finances a refurbishment or repositioning, the construction requirements in Section 4 also apply to the refurbishment component, and the ICR floor of 1.75x applies on an in-place income basis unless the

IC approves otherwise.

7. Build-to-rent finance

7.1 The facility limit for a BTR loan must not exceed 65% of the relevant valuation. During construction the test applies to the as-if-complete value. After practical completion, the test applies to the as-is value, and, until the asset is stabilised, the valuer must also provide a stabilised value for reference.

7.2 The credit paper must set out the operating model, including whether the asset is managed by the sponsor or a third party operator, the operator's track record, the leasing programme, the expected lease-up period and the sensitivity of value to occupancy and rent assumptions.

7.3 The construction requirements in Section 4.2 apply during the development phase. The pre-sale requirement in Section 4.3 does not apply to BTR projects unless a portion of the project is intended for sale, in which case that portion is treated as an apartments for sale component and tested separately.

7.4 For the lease-up period, the facility must include an interest reserve or sponsor support sufficient to service interest until the asset reaches the ICR floor in clause 6.1, or the IC must approve the alternative structure in writing.

8. Sponsor requirements

8.1 The sponsor must contribute cash equity of at least 10% of TDC. Cash equity means cash paid into the project by the sponsor or its associates from non-borrowed sources, and excludes deferred fees, developer margin, related party loans and any uplift in land value.

8.2 Total equity must be consistent with the leverage limits in this policy. For construction loans, the 80% LTC limit means total equity must be at least 20% of TDC. Land contributed by the sponsor may count towards the remaining equity at the lower of cost and the as-is value, provided it is unencumbered or is refinanced by the facility.

8.3 The sponsor must demonstrate relevant experience, including delivery of comparable projects in the past ten years, a satisfactory credit history and adequate liquidity. Credit must verify the sponsor's net asset position and contingent liabilities, and must obtain searches covering bankruptcy, insolvency, litigation and adverse regulatory findings.

8.4 Guarantees must be obtained from the sponsor's ultimate controlling entities or individuals, together with a completion guarantee for development loans. The IC may approve limited recourse structures only where compensating security or structural protection is documented.

9. Concentration limits

9.1 The aggregate exposure to a single borrower group must not exceed 12% of the Fund, measured on committed facility limits rather than drawn balances. Exposure includes all loans, undrawn commitments and any credit-related guarantees granted to the borrower group.

9.2 The limit is tested at approval, at each material increase in the facility limit and at each month end. If a fall in the Fund's net asset value causes a breach, the breach must be reported to the Risk Committee within five business days with a plan to bring the exposure within the limit.

9.3 Table 2 illustrates the application of the 12% limit. The Fund sizes shown are examples only and do not represent any particular fund.

Illustrative Fund (A$m)	12% limit (A$m)	Proposed commitment (A$m)	Within limit
500	60.0	45.0	Yes
800	96.0	100.0	No
1,000	120.0	118.0	Yes
1,200	144.0	150.0	No

Table 2: Illustrative application of the single borrower group limit

9.4 In addition to the borrower group limit, the Risk Committee sets portfolio guidelines for exposure by category, geography and development stage. These guidelines are reviewed quarterly and are reported to the IC. They are not hard limits unless adopted in a fund mandate.

10. Valuation, reports and diligence

10.1 Valuations must be prepared by a valuer on the Manager's approved panel. The valuer must be instructed by, and owe a duty of reliance to, the Manager. The Manager may not rely on a valuation commissioned by the borrower unless the valuer has issued a reliance letter and Credit has reviewed the report.

10.2 Valuations must be dated no more than three months before the date of the first drawdown. The Manager may require an updated valuation where there is a material change in the market, the project or the borrower's circumstances, or where a covenant breach has occurred.

10.3 Each development loan requires an independent quantity surveyor's report covering the budget, programme, contingency, contract terms and construction risk. A monitoring surveyor must be appointed for the life of the loan and must certify each drawdown.

10.4 Credit must obtain, as applicable: a legal due diligence report on title, planning and contracts; insurance advice; an environmental assessment where there is a risk of contamination; a market study for BTR and apartments for sale; and a tax and structure review for any complex ownership arrangement.

10.5 Know your customer, source of funds and sanctions checks must be completed and recorded before any commitment letter is issued.

11. Security and documentation

11.1 Security must include, as a minimum: a first registered mortgage over the property; a general security agreement over the borrower; fixed and floating charges over the borrower's assets; assignment of the construction contract, consultants' appointments and warranties; assignment of sales contracts and rental income; and guarantees under clause 8.4.

11.2 The facility documents must include financial covenants consistent with this policy, information undertakings, restrictions on distributions, restrictions on further debt, cross-default provisions and events of default for insolvency, loss of approvals, abandonment and material adverse change.

11.3 Interest rates must be set with reference to the BBSW benchmark plus a margin approved by the IC. Where interest is capitalised, the facility limit must include the full expected capitalised interest on a conservative drawdown profile.

11.4 Where the sponsor intends to hedge interest rate exposure, the hedge must be provided by an approved counterparty and must not rank ahead of the Manager's security.

12. Monitoring and reporting

12.1 The deal team must review each loan at least quarterly and must prepare a written credit review for the Risk Committee at least annually. Development loans must also be reviewed at each stage release and at each material variation to budget, programme or sales.

12.2 Each loan is assigned an internal risk rating. Loans are placed on the watchlist where any of the following occurs: a covenant breach; a construction delay of more than 60 days against the approved programme; a cost overrun that consumes more than half of the approved contingency; a failure to meet a pre-sale or ICR test; or an adverse change in the sponsor's financial position.

12.3 The Risk Committee must be notified within five business days of any event described in clause 12.2 and of any breach of a limit in this policy. The deal team must provide a remediation plan within a further ten business days.

12.4 Table 3 sets out the minimum monitoring requirements by category.

Category	Site inspection	Financial testing	Valuation refresh
Construction	Monthly	Each drawdown	Annual or on trigger
Land and civils	Monthly	Each stage release	Annual or on trigger
Apartments for sale	Monthly	Each drawdown and sale	Annual or on trigger
Investment	Annual	Quarterly ICR	Every 24 months
Build-to-rent	Monthly to completion	Quarterly after completion	Annual or on trigger

Table 3: Minimum monitoring requirements

13. Exceptions

13.1 An exception is any proposed loan, or any amendment to an existing loan, that does not comply with a limit or requirement in this policy. Deal teams must not issue a term sheet, commitment letter or waiver that is inconsistent with this policy unless the IC has approved the exception.

13.2 Every exception request must be submitted in the IC paper with: the clause being varied; the size and duration of the variance; the reason the variance is proposed; at least one mitigant that directly addresses the risk created by the variance; and the deal team's recommendation. An exception without a mitigant will not be considered.

13.3 The IC may approve an exception by a majority vote that includes the Chief Risk Officer. Where the exception relates to the borrower group limit in clause 9.1, the approval of the Risk Committee is also required and the matter must be reported to the Fund's trustee or responsible entity as required by the fund constitution.

13.4 Exceptions must be recorded in the exceptions register, with the approval date, the mitigant, any conditions and the expiry or review date. The register is reported to the Risk Committee each quarter. Exceptions are approved for a defined period and do not create a precedent for later loans.

13.5 Table 4 gives examples of acceptable mitigants. The examples are not exhaustive and do not replace the IC's judgement.

Policy parameter	Possible exception	Example mitigant
Construction LTC	Facility above 80% of TDC	Additional cash equity or third party guarantee
Pre-sales, land and civils	Pre-sales below 25% by value	Staged release with higher equity and lot release premium
Pre-sale debt cover	Cover below 80% of limit	Reduced limit and cash collateral held by the Manager
Investment ICR	ICR below 1.75x	Interest reserve covering 12 months and a cash sweep
Sponsor cash equity	Cash below 10% of TDC	Equity held in escrow and funded ahead of drawdown

Table 4: Examples of exceptions and mitigants

13.6 The following may not be varied by exception: the requirement for a first ranking mortgage on a development loan, the requirement for independent valuation, completion of identity and sanctions checks, and compliance with law or regulatory requirements.

14. Policy governance

14.1 The Chief Risk Officer is responsible for maintaining this policy. Changes to limits require approval by the Risk Committee and notification to the IC. Administrative changes may be approved by the Chief Risk Officer.

14.2 Deal teams must confirm compliance with this policy in each IC paper by completing the policy compliance checklist. Credit is responsible for independently verifying the checklist before the paper is tabled.

14.3 Internal audit will review compliance with this policy at least once every two years. Findings will be reported to the Risk Committee and, where material, to the board of the Manager.

14.4 Version 3.1 applies to all new approvals, and to amendments and extensions of existing facilities, from 1 February 2025. Existing facilities approved under earlier versions continue on their approved terms, but any increase in the facility limit, extension of maturity or release of security must be assessed against this version.

15. Approval

Policy owner	Chief Risk Officer, Quillwood Credit Partners
Prepared by	Credit and Risk team, Quillwood Credit Partners
Reviewed by	Risk Committee
Approved by	Investment Committee
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Approval and sign-off block